ORCL | Decision memo - October 19, 2026

To: Buy-side Investment Committee (no existing ORCL position)
From: Analyst team, FIN 439 | AI-assisted model preparation
Action requested: WATCH / DEFER initiation. Revisit after reconciled cash-flow timing, terminal reinvestment and financing support. **Not investment advice.**

Investment question and evidence boundary

Oracle offers a compelling enterprise cloud infrastructure growth opportunity, but the company is undertaking an exceptionally expensive data-center build-out. The thesis requires that demand for cloud capacity turns into cash flow fast enough to cover spending, customer prepayment obligations, and financing costs. This is a **FY2027-FY2031 five-period** forecast (FY2027 is only the remaining nine months). It starts from reported **August 31, 2026** balances; these became public *after* the balance date. The **October 19, 2026 market price of $129.59** is shown only for context, **not** as a date-matched DCF comparison.

Valuation evidence - do not average the methods

The legacy FCFF model retains signed cash flows of **-$31.64bn** over the remaining FY2027 months and **-$8.72bn** in FY2028, before positive FCFF in FY2029-FY2031. Using the **assumed, not independently measured**, WACC **11.4%** and terminal growth **3.0%**, the diagnostic enterprise value is **$287.34bn** and the equity bridge gives **$57.72/share**. The adjusted bridge starts with **$36.369bn unrestricted cash**, adds only cash above a **$10bn operating reserve** and **$0.708bn marketable securities**, then deducts **$125.337bn notes**, **$9.185bn finance leases**, **$4.954bn preferred stock** and **$0.424bn NCI**. Restricted cash and operating leases are not double counted.

Diagnostic envelope, not fair value: At WACC 10.4%-12.4% and growth 2%-4%, values range **$36.01-$93.09/share**. Alternative normalization of terminal reinvestment reduces the result still further. **95.8% of diagnostic EV is terminal value**, so this exercise does not support a confident intrinsic-value range. The reverse DCF shows approximately **$69.09bn** FY2032 FCFF required to mechanically match the October 19 market reference at the assumed discount factors, versus **$38.61bn** from the provisional terminal formula. This is a *scale comparison* and suffers from the as-of mismatch.

Causal operating cases (each retains baseline WACC and terminal rule): The **low** case shifts FY2028-2031 annual growth down 1 pp and gross margin down 0.5 pp; modeled value **$50.42/share**. **Base** is **$57.72**. **High** assumes +2 pp annual growth, +0.5 pp gross margin and 5% less FY2028 CapEx; modeled value **$71.70**. These are *conditional, not probability-weighted* outcomes; a more adverse growth -2 pp / margin -1 pp / CapEx +10% stress fails financing (no share value). Over the rate-only WACC/g grid, the wider **$36.01-$93.09** diagnostic range is not a statistical confidence interval.

The independent September 10 peer screen (MSFT/CRM, both qualified rather than perfect matches) produced **P/E $159.94-$181.63 implied ORCL/share** based on FY2026 GAAP diluted earnings. The peer **EV/revenue** values are **10.93x MSFT** and **5.52x CRM** using a fixed September 10 price with each issuer's reported annual revenue, debt and cash. Because peer business mix, capital intensity and share count dates differ, these do not prove Oracle is worth the peer midpoint. Lab 06's earlier **$151.01** DCF and Lab 10's **$74.80** FCFE estimate also used different forecasts/dated assumptions; neither should be mechanically averaged into a decision.

What could change the call

- **For reconsideration:** FY2027-FY2028 cloud revenue and actual contract-to-cash collections support the growth path; updated debt, finance/operating leases and restricted cash are documented; a FY2032 capex-maintenance forecast and independently sourced WACC produce a robust enough margin of safety.
- **For rejection:** Funding constraints continue to fail when FY2028 CapEx increases by 10% (our existing model reaches an unavailable cash floor), or the cloud/CapEx assumptions cannot support positive sustainable FCFF. A failure in balance-sheet articulation suspends valuation automatically.
- **Monitoring:** Recheck each new Oracle 10-Q, CapEx guidance, outstanding shares and customer-advance financing arrangement. Re-run the app, source ledger, case grid, and stress tests before committee approval.

Committee ask: Keep ORCL on watch; authorize no new position from this unfinished estimate. Request a post-filing valuation-date bridge, a verified WACC, credible long-run reinvestment economics and an independent human review of dilution/lease financing. **This is a conditional research recommendation**, not a claim that the market is definitively wrong.